

perfect foresight, one would, of course, select the U.S. Bond Index fund to benefit from the higher returns realized over the period.

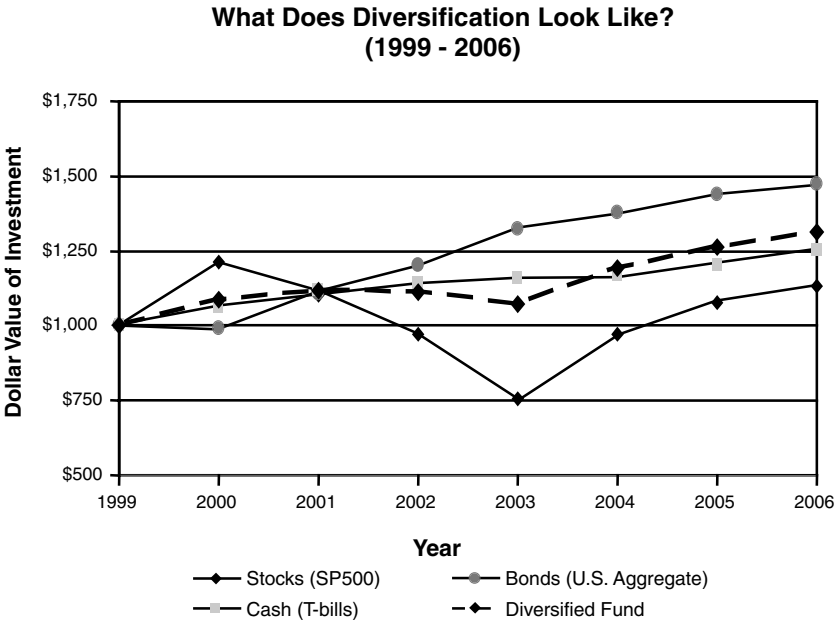


Figure 3.1 Predicting the future is very hard. Note: Diversified fund consists of an equal allocation among the three asset classes.

Source: IFID Centre calculations.

Now, assume you didn't have a crystal ball and that you decided to invest \$1,000 in a portfolio consisting of equal weights of these three distinct asset classes; in other words, you diversified your portfolio by investing \$333.33 in each. The growth of this investment is represented by the dashed line in Figure 3.1. Now, the \$1,000 you invested on January 1999 is worth \$1,315 on December 2006. As you can readily see, the final balance of this diversified fund is lower than the balance you would have earned if you had invested in the Bond Index alone. But it is also higher than either the SP500 Index fund or the T-Bill fund. Now here is my main point: Notice the smoother, less jagged path that is followed by the diversified investment. Such is the effect of diversification. With hindsight we might regret not choosing the best performing asset; but while we forego the positive extremes and